The figures for Tata Steel, which recorded the best performance under the TBEM, are revealing. Six years after the programme had begun, it became the first company to win the JRD QV Award in 2000, getting 643 points. Two years on, it hit the 666-point mark, receiving the ‘Industry Leader’ award. A year later, in 2003, it received the JRD QV Sustained Excellence Award for securing more than 600 points uninterruptedly. During this ten-year period, from 1994 to 2004, its EBITDA (standalone) increased by over 6.5 times from Rs 557.82 crore to Rs 3,635.94 crore. And by the time Ratan stepped down in 2012, it had risen to Rs 11,559.3 crore.

Even after Ratan stepped down, the process he had started continued to innovate. As N. Chandrasekharan, present chairman of Tata Sons, said in 2019 during the event marking the twenty-fifth year of the start of the programme, the TBEM and JRD QV Award spawned by Ratan’s ‘tremendous foresight’ are ‘important foundational framework[s]’ on which Tata companies have pursued their business.

The Tata Code of Conduct

Alongside the increase in efficiency and competitiveness that Ratan infused in Tata companies, he was determined to have systems to prevent deviation from the group’s ethical foundations. Even though the group was sworn to ethical practices since the time of its founder nothing was codified. Ratan, for the first time, formulated the Tata Code of Conduct (TCoC) in 1998. To ensure that it was strictly followed, it was incorporated as a key component of the Brand Equity and Business Promotion (BEBP) agreement.

The code required all employees of the Tata companies that subscribed to the BEBP to sign it and adhere to its provisions. With formal and detailed guidelines, the code emphasized five core values of the Tata Group: excellence, integrity, unity, responsibility and pioneering.

There is a little-known incident that nudged Ratan to make the TCoC an integral part of his restructuring plan. Towards the end of the 1980s, there was intense pressure on the group to contribute funds to political parties. TISCO and TELCO were primarily targeted. While Moolgaokar stood his ground, Russi Mody started making political contributions. This news, however, reached Ratan only towards the beginning of 1990. It shocked him, for ‘Doing things right’, as a leading newsmagazine wrote, is ‘more than an obsession with Ratan’.